Rivian's CEO on Cybertruck's Failure, Ferrari's Surprise, and the High-Stakes Bet on R2

From: Wired Gear Mined: 2026-06-14 5 min read

RJ Scaringe earned a PhD from MIT studying internal combustion engines then started a company to kill them. Rivian spent nearly a decade in **stealth** before unveiling its electric trucks in 2018. But the road has been brutal. The company lost $3.6 billion in 2025 and has burned through nearly $25 billion. Its stock plummeted from $130 to around $16. Yet Scaringe remains candid and surprisingly upbeat. In a wide-ranging interview, he shared his thoughts on the most controversial EVs of 2026. The Tesla Cybertruck? "You sometimes take big swings," he said. "It's turned out it's not a mass-market product. It's very, very **niche**." He applauded the courage but noted the design pushes people away the opposite of Tesla's Model 3 and Y, which dominate over half the US EV market. That dominance, Scaringe argues, reflects a "wildly **underserved** market." His solution is the R2, a more affordable SUV aimed at the masses. But the stakes are staggering. Rivian has spent billions building its own sales locations, service network, and distribution centers all anticipating R2's high volume. The company even designs its own **silicon chips**, motors, and **gearboxes**. "If R2 were to be a flop, we would have to really reconfigure the business," Scaringe admitted. "To have a 6,000-person engineering team to sell 50,000 vehicles just wouldn't make sense." He also weighed in on Ferrari's Luce, praising its intentional design and "phenomenal" interior haptics, and on Polestar's struggles: "The whole package price, content, features just hasn't connected." With Uber investing up to $1.25 billion in Rivian's **robotaxi** plans and Volkswagen committing $5.8 billion for a software joint venture, the pressure is immense. But Scaringe is betting that the R2 will finally give Americans a compelling alternative to the Tesla twins.

Word Treasure

stealth -- Operating secretly without public attention, as Rivian did for a decade before revealing its vehicles.

niche -- A very specific, small segment of the market that appeals only to certain people.

underserved -- Not having enough options or products available, so customers lack good choices.

silicon chips -- Tiny electronic circuits that control computers and devices; Rivian designs its own for its vehicles.

gearboxes -- Mechanical parts that transmit power from the motor to the wheels, allowing the car to change speed.

robotaxi -- A self-driving car used as a taxi, without a human driver.

Background you need

The electric vehicle (EV) market has grown rapidly, led by Tesla, which launched its mass-market Model 3 in 2017 and now controls over half of all U.S. electric car sales. Numerous startups have emerged to challenge Tesla, including Rivian, founded by RJ Scaringe--a mechanical engineer who earned a PhD from MIT studying internal combustion engines before deciding to build electric trucks.

Rivian's R1T pickup and R1S SUV won praise for their design and off-road capability, but the company has struggled to achieve profitability, losing billions of dollars. The large-scale manufacturing of vehicles demands enormous investment; many rival startups, such as Lordstown Motors and Fisker, have gone bankrupt or pulled back.

Scaringe's strategy includes vertical integration--building a vast service network and even custom silicon chips. However, the crucial test is the upcoming R2, a smaller, more affordable SUV intended to compete directly with Tesla's Model Y. A failure could force Rivian to radically downsize, while success might prove that an independent EV maker can thrive alongside Tesla.

Key partnerships with Volkswagen (Germany's largest automaker) and Uber (the global ride-hailing company) add both resources and pressure. Rivian also plans to enter the robotaxi business, a future market for self-driving ride services.

Break it down

PORTRAIT: RJ Scaringe -- PhD from MIT, studied combustion engines, then started Rivian to kill them
  +- STEALTH PHASE: Spent nearly a decade in secret before unveiling trucks in 2018
CRISIS: Lost $3.6B in 2025, stock plummeted from $130 to ~$16
INTERVIEW HIGHLIGHTS:
  +- ON CYBERTRUCK: 'Sometimes you take big swings... it's very, very niche'
  +- ON TESLA: Model 3/Y dominate over half US EV market -- 'wildly underserved market'
  +- SOLUTION: R2, an affordable SUV aimed at the masses
STAKES: Billions spent on sales locations, service network, silicon chips, gearboxes
  +- ADMISSION: 'If R2 were to be a flop, we would have to really reconfigure the business'
OTHER OPINIONS: Ferrari Luce praised for design/haptics; Polestar's package hasn't connected
PRESSURE: Uber invests up to $1.25B in robotaxi plans; Volkswagen $5.8B software venture
FINAL BET: Scaringe believes R2 gives Americans a compelling alternative to Tesla twins

Why it matters

Rivian's high-stakes gamble shows that breaking into a dominant industry requires not just a good idea but also deep pockets and flawless execution. For young people interested in engineering or business, it's a real-time lesson in how innovation, risk, and perseverance intertwine, and how even billion-dollar companies can dance on the edge of failure.

Test what you remember

1. **What did RJ Scaringe study at MIT that inspired him to start Rivian?**
   - (A) Rocket science
   - (B) Computer programming
   - (C) Internal combustion engines
   - (D) Battery technology
2. **According to Scaringe, what is the main issue with the Tesla Cybertruck?**
   - (A) It is too expensive
   - (B) It is not a mass-market product and is very niche
   - (C) It lacks safety features
   - (D) It is too slow
3. **What is the name of Rivian's planned affordable SUV aimed at a wider market?**
   - (A) R1S
   - (B) R1T
   - (C) R2
   - (D) R3
4. **How much did Rivian lose in 2025 alone?**
   - (A) $1.2 billion
   - (B) $3.6 billion
   - (C) $5.8 billion
   - (D) $25 billion
5. **What would happen if the R2 vehicle were a flop, according to Scaringe?**
   - (A) Rivian would close immediately
   - (B) Rivian would have to reconfigure the business entirely
   - (C) Tesla would buy Rivian
   - (D) Rivian would only sell 50,000 vehicles but keep the engineering team
6. **Which major automaker committed $5.8 billion for a software joint venture with Rivian?**
   - (A) General Motors
   - (B) Ford
   - (C) Volkswagen
   - (D) Toyota

Answer key (try the quiz first!): 1: C 2: B 3: C 4: B 5: B 6: C

Questions to think about

1. **Positive: If the R2 succeeds, it could offer consumers a competitive, well-designed electric SUV and accelerate the transition away from gasoline cars. Rivian's focus on adventure and sustainability could inspire a new generation of eco-conscious drivers.**

2. **Negative / critical: Rivian's relentless cash burn and heavy reliance on outside investment raise red flags. Some analysts worry that the company is overbuilding infrastructure for a product that may not meet sales expectations, putting thousands of jobs at risk.**

3. **Neutral / analytical: The EV market is still in a shakeout phase where only cash-rich companies survive. Tesla's dominance stems partly from early mover advantage and scale, while competitors like Rivian must differentiate themselves; the R2's success hinges on whether consumers want an alternative to the Model Y at a similar price.**

4. **Forward-looking: The upcoming robotaxi partnership with Uber could open new revenue streams beyond vehicle sales, moving Rivian into mobility services. If the R2 launch goes smoothly, Rivian may become a cornerstone of U.S. electric manufacturing, but any misstep might force a merger or acquisition by a larger automaker.**

MY THOUGHTS (at least 20 words):